IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-III

Item No.01
CAA-19/ND/2022

IN THE MATTER OF:
Dapel Investment LLP With Grandeur Travels And Tours LLP
.... APPLICANT/PETITIONER

SECTION
U/s 60 to 62 **Order pronounced on 29.08.2023**

CORAM:
SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets.

LLP Petition CAA-19/ND/2022 stands **disposed of.**

Sd/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL

COURT-III, NEW DELHI

LLP PETITION (CAA)-19/ND/2022

UNDER SECTION 60 TO 62 OF THE LIMITED LIABILITY PARTNERSHIP ACT, 2008 AND LIMITED LIABILITY PARTNERSHIP RULES

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

DAPEL INVESTMENTS LLP
Having its registered office at:
11th Floor, Narain Manzil, 23,
Barakhamba Road,
New Delhi-110001

....(Transferor LLP 1/Applicant LLP NO. 1)

WITH

GRANDEUR TRAVELS AND TOURS LLP
Having its registered office at:
4, Scinidia House,
New Delhi-110001

....(Transferee -LLP 2/Applicant I-LLP NO. 2)

CORAM

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)
SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

Order Pronounced on: 29.08.2023

PRESENT:

For the Applicant: Adv Ashutosh Gupta, Adv. Gaurav Rana Adv. Ajitesh Kumar

For the OL : Ms. Hemlata Rawat Counsel

For the RD : Adv. Shankari Mishra

ORDER

Per: BACHU VENKAT BALARAM DAS, MEMBER (JUDICIAL)

1. The present Petition has been filed under Sections 60 to 62 of the Limited Liability Partnership Act, 2008 and Limited Liability Partnership Rules by the Applicant I-LLP seeking approval of the Scheme of Amalgamation, as contemplated between the LLP by way of Amalgamation of Transferor 1-LLP with the Transferee 2 LLP. As per the Scheme of Amalgamation (in short, 'Scheme'), "Dapel Investments LLP" (hereinafter referred to as 'Transferor LLP') are proposed to be merged with "Grandeur Travels and Tours LLP" (hereinafter referred to as 'Transferee LLP') as a going concern.

2. The Transferor I-LLP was originally incorporated on 09.12.1974, under the provisions of the Companies Act, 1956, under the name & style of "Dapel Investments Private Limited" with corporate identification number U65993DL1974PTC007551. The Transferee 2-LLP was registered on 7th September, 2017 under the provisions of the Limited Partnership Act, 2008 under the name and style "Dapel Investments LLP", after grant of approval from the Ministry of Corporate Affairs for conversion into the said LLP. Liability Partnership Identification Number of Dapel Investments LLP is AAK-5221. The Capital contributor of the Transferor LLP is INR 1,00,000/-

3. The Transferee 2-LLP was originally incorporated under the provisions of the Companies act, 1956/2013 under the name and style of "Grandeur Travel and Tors Private Limited". Transferee 2-LLP was registered on 12th January, 2016 under the provisions of the Limited Liability Partnership Act, 2008 under the name and style "Grandeur Travels and Tours LLP" having Limited Liability Partnership Identification Number AAF-4799. The capital contribution of the Transferee LLP is Rs. 25,00,000/-.

4. The salient features of the proposed Scheme of Amalgamation (herein referred to as "the said Scheme" are:

1.1 In consideration of the transfer in favour of the Transferee LLP, Capital contribution of all the designated partners shall stand increased as under:

Partners' Capital Account ("Capital Account")	Amount (in Rs.)
Mrs. Abha Dalmia	10,40,000
Mrs. Sharmila Dalmia	7,80,000
Ms. Kanupriya Dalmia	7,80,000
Total	26,00,000

1.2 In consideration of the transfer in favour of the Transferee LLP, profit-sharing ratio of the Designated Partners is as under:

Name of Designated Partners	Profit Sharing Ratio (%)
Mrs. Abha Dalmia	40%
Mrs. Sharmila Dalmia	30%
Ms. Kanupriya Dalmia	30%

5. The main objects of all the LLPs are as follows: -

Transferor LLP

i) *To carry on the business of investment in shares, stock, debenture, debentures stocks, bond, notes and underwite the financial securities;*
ii) *To exercise and enforce all rights and powers by or incidental to the ownership of any such shares, or other securities;*
iii) *To carry on the business of Issue house for the issue of shares, debentures, debentures stocks, bond stocks, bonds.*

Transferee LLP

i) *To carry on the business of Travel agents, Tour operators, Tourist transport operators, Tourist agents, consultants and general sales agents for any of the airlines steam ship companies railways, transport companies, Taxi and Tour operators.*

6. The rationale of the scheme as stated is as follows: -

i) *The amalgamation will enable the Transferee LLP to consolidate the businesses and lead to synergies in operation and create a stronger financial base for future growth and expansion of the Transferee LLP. The amalgamation will provide significant impetus to the growth of the Transferee LLP.*
ii) *To economize on administrative and other expenses.*
iii) *The amalgamation of the Transferor LLP with the Transferee LLP will enable optimal utilization of existing resources and provide an opportunity to fully leverage assets, capabilities, experience, expertise and infrastructure of LLP.*
iv) *The Scheme of Amalgamation will result in reduction in multiplicity of legal and regulatory compliances required at present and elimination of administrative functions and multiple record-keeping thus leading to reduction in overall administrative costs.*
v) *There is no likelihood that interests of any partner or creditor of either of the Transferor LLP or the Transferee LLP would be prejudiced as a result*

of the Scheme. The amalgamation will not impose any additional burden on the Partners of the Transferor LLP or the Transferee LLP.

7. Considering the reasons and justification in favour of and advantages to be derived from the proposed Amalgamation, the Partners of the Transferor 1 LLP and the Transferee 2 LLP have, by passing respective resolutions dated December 12, 2019, unanimously approved the Scheme of Amalgamation, subject to necessary sanctions and approvals.

8. The Partners of the concerned Applicant LLPs have approved the Scheme of Amalgamation, in their respective Partners meeting, held on 12th December 2019, by passing a unanimous resolution in favour of the scheme. The said Resolution was passed on 12th December 2019 by the partners.

9. The creditors of the Transferee LLP have already given their consent to the said Scheme.

10. The appointed date fixed for the proposed scheme of Amalgamation is **1st April 2019** or such other date as may be directed by the National Company Law Tribunal.

11. That the Petitioner LLPs had earlier filed an Application for Sanctioning of the Scheme of Arrangement vide the CA (CAA)-19/ND/2021 under sections 60 to 62 of the Limited Liability Partnership Act, 2008 (as amended from time to time). This Tribunal vide its order dated 11 February 2021 was pleased to dispense the meetings as required to be held and further directions were given to issue the notice. This Tribunal vide its order dated 9 December 2021 allowed the First Motion i.e. CA(CAA)-19/ND/2021.

12. Further, the Tribunal directed the Petitioner Companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate

Affairs, (ii) Registrar of Companies NCT of Delhi and Haryana, (iii) Income Tax Department, (iv) Official Liquidator.

13. The Registrar of Companies (RoC) in its report dated 19.09.2022 has made four observations with regard to the proposed scheme of Amalgamation among the Petitioner LLP's which are given below:

1. No valuation report is attached with the petition.
2. As per Audited accounts of the Transferee LLP for the F.Y. 2020-21, it is seen that the LLP has taken long term debt amounting Rs. 85,00,000/- However, no more clarification on such loan. Hence, LLP's may be asked to clarify the same.
3. On perusal of the financial statements for the F.Y. 2020-21, it is evident that the transferor LLP is running a lending business with loans & advances of Rs. 2,24,97,608. An LLP is not allowed to do NBFC activity, for which necessary clarification may be sought.
4. On examination of the Financial Statements of the Transferor LLP it is seen that the LLP has no revenue from its operation since last two years.

14. In response thereto the Petitioner LLP had filed reply dated 10.01.2023 wherein the Petitioner LLP have given clarification to address the observations made by the Registrar of Companies. The details of which are given below:

1. It is humbly submitted that the requirement of valuation report is not required in the present case as the Designated partners of the Transferor LLP and Transferee LLP are same and the profit-sharing ratio are also same. Thus, said profit sharing Ratio will remain same in transferee LLP as well. Therefore, the valuation report is not required in the present case.

2. With regard to the second observation it is stated that the Transferee LLP has taken long term debt amounting Rs. 85,00,000/- from the Partner in Transferee LLP. Neither LLP Act nor Rules made thereunder prohibit for the said transaction. On the same hand, Section 66 of the Limited Liability Partnership Act, 2008 allows LLP to take Loans from partner. Section 66 are retreated herein below for easy reference;

> "66. Business transactions of partner with limited liability partnership- A partner may lend money to and transact other business with the limited *liability partnership and has the same rights and obligations with respect to the loan or other transactions as a person who is not a partner."*

Further the clause 43 and 44 of the LLP agreement of Transferee LLP allowed Transferee LLP to take loans. Clause 43 and 44 are retreated herein below for easy reference;

"43. The firm shall be at liberty to obtain additional funds by raising loans in market at the prevailing rate of interest or from the banking and/ or other institution in the course of business with the consent of Majority of the Designated Partners.

44. The funds required for the purpose of the LLP business shall be contributed or arranged by the partners in such manner as may be mutually agreed upon. A partner may lend money to and transact other business with the Limited Liability Partnership and has the same right and obligations with respect of the loan or other lower / higher rate as may be prescribed u/s 40 (b) (iv) of the Income Tax Act, 1961 or any other applicable provisions as may be in force for the Income Tax Assessment of the Partnership Firm for the relevant accounting period Partners shall be at the liberty to increase or reduce the above rate of interest from time to time. Partners may agree by mutual consent to waive or reduce the rate of interest payable to them in respect of their capital & Loan Accounts in the case of losses or of small profits or

because of difficult financial position of the business of the firm or because of the expansion or other urgent needs of the business of firm"

From the above, it is made clear that the LLP can take loans from partner. Therefore, the Transferee LLP has obtained the loan within four corners of law as provided under the Limited Liability Partnership Act, 2008 and rules made thereunder.

3. With regard to the third observation, it is submitted that Transferor LLP is not running a lending business. The Transferor LLP has given a inter corporate loan of Rs. 2,24,97,608. Further, It is also submitted that Dapel Investments LLP (Transferor LLP) is not required to be registered under section 45-1A of the Reserve Bank of India Act, 1934. Bare text of the Section 45-1A is reiterated herein below for easy reference of this Hon'ble Tribunal:

"45-IA.(1) Notwithstanding anything contained in this Chapter or in any other law for the time being in force, no non-banking financial company shall commence or carry on the business of a non-banking financial institution without –

(a) obtaining a certificate of registration issued under this Chapter; and

(b) having the net owned fund of twenty-five lakh rupees or such other amount, not exceeding two hundred lakh rupees, as the Bank may, by notification in the Official Gazette, specify. "

45-I. Definitions.—In this Chapter, unless the context otherwise requires,—

(f) "non-banking financial company" means- (i) a financial institution which is a company; (ii) a non-banking institution which is a company and which has as its principal business the

receiving of deposits, under any scheme or arrangement or in any other manner, or lending in any manner; (iii) such other non-banking institution or class of such institutions, as the Bank may, with the previous approval of the Central Government and by notification in the Official Gazette, specify. "

That the business of Non-Banking Financial Institution (NBFC) means a company engaged in the business of financial institution as contained in Section 45 I(a) of the RBI Act, 1934. Hence, in the present case Transferor LLP is not a Company. It does not fall under section 45IA and not required to be registered with Reserve Bank of India (RBI). The Transferor LLP has lended money to Funtail Enterprises which is a Proprietorship firm, therefore no public interest is involved in the present case and it is a part of inter corporate loan to associate.

4. With regard to the 4th observation of ROC, It is submitted that admittedly Transferor LLP has no revenue but any way same cannot read as challenge or objection to the Scheme of Amalgamation, instead it is one of the reason to merge Transferor LLP and Transferee LLP so as to meet the synergies of both the LLPs to economize on administrative and other expenses and will result in reduction in multiplicity of legal and regulatory compliances required at present and elimination of administrative functions and multiple record-keeping thus leading to reduction in overall administrative costs. Hence, the Present Scheme of Amalgamation be allowed.

15. On perusal it is mentioned that the Registrar of Companies (RoC) in its report dated 19.09.2022 has made four observations with regard to the proposed scheme of Amalgamation among the Petitioner LLP's. In response thereto the Petitioner LLP had filed reply dated 10.01.2023 wherein the Petitioner LLP have given clarification to address the observations made by

the Registrar of Companies. This Tribunal is therefore, satisfied with the reply of the Petitioner LLP.

16. The Official Liquidator has filed its report dated on 30.11.2022, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

17. The Income Tax Department has filed its report dated 26.07.2022, wherein the Income Tax Department has no objection to the present scheme.

18. There is no additional requirement for any modification and the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 60 to 62 of the Limited Liability Partnership Act, 2008.

19. Taking into consideration the above, the Application filed by the Applicant is allowed and the Scheme of Amalgamation is hereby Sanctioned. The Scheme approved shall be binding on the Partners, Creditors and employees of the Companies involved in this Scheme. The Appointed date of the Scheme is 01.04.2019.

20. While approving the Scheme as above, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

21. The LLP to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

22. A certified copy of this Order shall be filed with the concerned Registrar for registration in Form 22 along with applicable fee within 30 days of the receipt of this Order as required under section 62(3) of the Limited Liability Partnership Act, 2008

23. The Transferor I-LLP shall be dissolved without winding up pursuant to the provisions of Section 62 of the Act, without any further act or deed. On and from the effective date, the name of the Transferor I-LLP shall be struck off from the records of the concerned Registrar of Companies. The transferee LLP shall make necessary filings, if any, in this regard required as per the applicable laws. Upon receiving the certified copy of this Order, the ROC concerned is directed to place all documents relating to the Transferor I-LLP with that of the Transferee 2-LLP and the files relating to the Transferor I-LLP shall be consolidated with the files and records of the Transferee 2 LLP.

24. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format.

25. Accordingly, the Scheme stands sanctioned and CAA-I9/ND/2022 stands disposed of.

Sd/-

ATUL CHATURVEDI

Member (Technical)

Sd/-

BACHU VENKAT BALARAM DAS

Member (Judicial)